Comprehensive Manual Testing Guide: GST Taxation & Compliance (India)

1. Overview

Ensures legal compliance with Indian tax laws. Miscalculations here result in severe penalties.

2. Detailed Test Cases

Test Case 1: HSN and Rate Integrity

Objective: Ensure master tax data cannot be entered incorrectly.

- **Action:** Go to `GST Rates`. Ensure fixed slabs (0, 5, 12, 18, 28) exist.
- **Action:** Go to `HSN/SAC Codes`. Create code '6105' (Men's Shirts) and map to 5% GST rate.
- **Action:** Go to `Products` and assign HSN '6105' to the Classic Polo Shirt.
- **Expected Result:** Changes cascade properly. The product is now officially a 5% tax item.

Test Case 2: Intra-State vs Inter-State Tax Split (Crucial Test)

Objective: Verify the core engine that splits IGST vs CGST/SGST based on addresses.

- **Pre-requisite:** Ensure the Company HQ is set to State: 'Tamil Nadu' (Code 33).
- **Action (Intra-State):** Create a B2B Sale Invoice to a Customer whose address is also in 'Tamil Nadu'. Add the Polo Shirt (1000 Rs).
- **Expected Result:** The invoice MUST display: CGST 2.5% (25 Rs) and SGST 2.5% (25 Rs). Total = 1050 Rs. IGST must be 0.
- **Action (Inter-State):** Change the Customer's address to 'Kerala' (Code 32). Recalculate the invoice.
- **Expected Result:** The invoice MUST display: IGST 5% (50 Rs). CGST and SGST must be 0. Total = 1050 Rs.

Test Case 3: Tax Invoice Generation (B2B)

Objective: Verify the legal document output.

- **Action:** Generate the PDF for the `Tax Invoice` created above.
- **Validation:** Visually inspect the PDF. It MUST contain:
    - ○ Supplier GSTIN
    - ○ Customer GSTIN
    - ○ HSN Codes column for items
    - ○ Distinct tax breakdown table (Taxable Value, CGST amount, SGST amount).
    - ○ "Tax Invoice" written at the top.

Test Case 4: TDS Calculation (If applicable)

Objective: Verify Tax Deducted at Source on vendor services.

- **Action:** Create a Purchase Invoice for 'Consulting Services' from a Vendor for 50,000 Rs.
- **Action:** Apply a 10% TDS rule in `TDS Records` against this transaction.
- **Expected Result:** The payable amount to the vendor reduces to 45,000. 5,000 is moved to a TDS Payable liability ledger automatically.